

early stages when you have started spending from your portfolio, withdrawals can deplete wealth rapidly, leaving a much smaller remainder to benefit from any subsequent market recovery, even with the same average returns over a long period of time. What happens in the markets during the fragile decade around the retirement date matters a lot.

The dynamics of sequence risk suggest that a prolonged recessionary environment early in retirement without an accompanying economic catastrophe could jeopardize the retirement prospects for particular groups of retirees. Some could experience much worse retirement outcomes than those retiring a few years earlier or later. It is nearly impossible to see such an instance coming, as devastation for a group of retirees is not necessarily preceded or accompanied by devastation for the overall economy.

4. Unknown longevity

The fundamental risk for retirement is unknown longevity, which is summarized in the question, “How long will your retirement plan need to generate income?” The length of your retirement could be much shorter or longer than the statistical life expectancy. A long life is wonderful, but it is also costlier and a bigger drain on resources. Half of the population will outlive their statistical life expectancy, and that number is only increasing as scientific progress constantly increases the number of years we can expect to live. For many retirees, the fear of outliving resources may exceed the fear of death.

5. Spending shocks

Unexpected expenses come in many forms, including:

- unforeseen need to help family members,
- divorce,
- changes in tax laws or other public policy,
- changing housing needs,
- home repairs,